

DO WE NEED ACCIDENT COVER?

The answer to this is pretty simple and straight-forward. If we need life insurance, we need accident cover as well. The 3 questions that we used to evaluate our need for life insurance, will also help us evaluate our need for accident cover.



FOR WHAT AMOUNT WOULD WE NEED THE ACCIDENT COVER?



The amount would be 8-10x of the post-tax annual income that we are making currently. This is the same method that we are using to calculate life insurance needs except that for life insurance, we had also added the major liabilities to our coverage amount. Here, we can ignore adding up liabilities to the coverage amount.

All this may sound a little overwhelming and some may ask why we are getting so pessimistic. And we would say, "We hope for the best, but prepare for the worst". For the Financial Plan to be effective, we need to take care of the downside, the good stuff can take care of itself. That is why it is so important to expect the worst case and prepare for the same.